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ABSA Kenya Q3'24 Earnings Note

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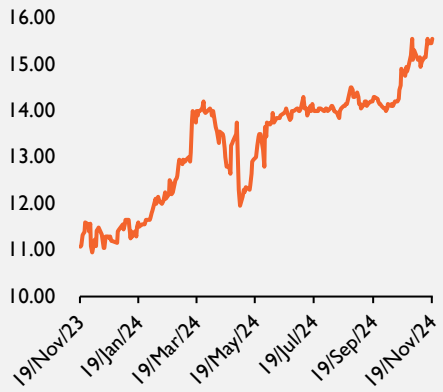
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ABSA Bank Q3'24 Earnings Note

November 20th , 2024

Ticker Information	
NSE Code:	ABSA
Issued Shares (Bn):	5.43
52-week high:	KES 16.70
52-week low:	KES 10.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	4.4%	10.3%	19.6%	40.5%

Source: NSE, AIB-AXYS Research

Analyst

Stacy Makau

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Recommendation	Current Price	Target Price
BUY	KES 15.55	KES 17.85

Summary

- **ABSA Bank reported a robust 19.8% y/y growth in net earnings to KES 14.75Bn over the first three quarters of 2024.** The growth was underpinned by a 16.5% y/y increase in operating income driven by strong performance across wholesale and consumer banking segments. Net interest margins widened 150bps to 9.9%, supported by higher reinvestment returns on interest-earning assets. The trailing return on equity increased 60bps y/y to 26.4% while the trailing return on assets inclined 50bps y/y to 3.8%.

Key Highlights

- **Strong Core Banking Performance:** Net Interest Income surged notably by 17.7% y/y to KES 34.53Bn primarily driven by a substantial 28.4% y/y increase in interest income from loans, supported by loan repricing under the risk-based pricing regime. Non-funded income grew 13.0% y/y to KES 12.23Bn, reflecting improved performance in transactional fees and other supplementary revenue streams. Consequently, the operating income surged 16.5% y/y to KES 46.76Bn. The average yield on interest earning assets paced up 330bps y/y to 15.0% reflecting higher reinvestment returns. Cost of funds expanded by 180bps y/y to 5.1% attributable to the prevailing high interest rate environment. As a result, net interest margin widened 150bps y/y to 9.9%.
- **Pressurized Asset Quality:** Gross Non-Performing Loans (NPLs) surged significantly by 23.5% y/y to KES 42.67Bn – driving a 280bps y/y increase in the gross NPL ratio to 12.6%. Concurrently, NPL coverage declined by 210bps y/y to 65.3% signaling reduced loss absorption capacity. Management adopted a conservative stance by substantially increasing credit impairment provisions by 18.7% y/y to KES 8.03Bn, reflecting heightened credit risk concerns in the loan portfolio.

Balance Sheet Dynamics

Customer deposits contracted marginally by 0.7% y/y to KES 351.80Bn. Similarly, the loan book contracted by 5.9% y/y to KES 311.46Bn, reflecting a more conservative lending approach. In a strategic bid to capitalize on favorable margins in customer assets and to preserve liquidity, management reduced exposure to government securities by 8.5% y/y to KES 97.54Bn reflecting a cautious stance. Fair value position showing marked improvement from a loss position to register a gain of KES 1.49Bn, benefiting from tactical positioning along the yield curve movements.

Enhanced Operational Efficiency

ABSA demonstrated improved operational efficiency, as reflected by a modest 90bps y/y decline in the cost-to-income ratio (excluding loan loss provisions) to 37.8%. This efficiency gain was underpinned by robust operating income growth of 16.5% y/y which outpaced the 13.7% y/y increase in pre-provision operating expenses.

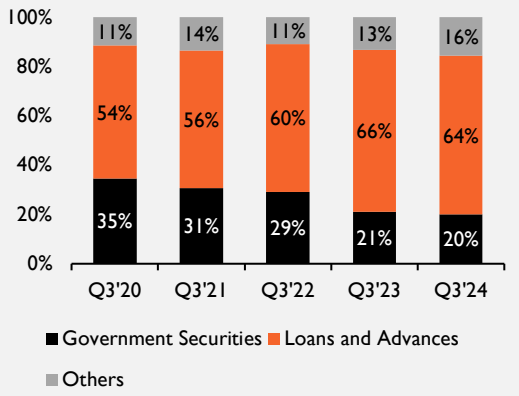
Outlook

We anticipate the bank's growth trajectory to remain robust, anchored by its multi-segment strategy targeting both affluent and mass retail segments. The bank's diversified revenue streams through subsidiary operations in asset management and insurance are expected to provide earnings resilience and fee income growth. We anticipate accelerated loan book expansion through the bank's digital lending platform, Timiza, which should capture untapped lending opportunities in the retail segment while maintaining prudent risk management.

Recommendation

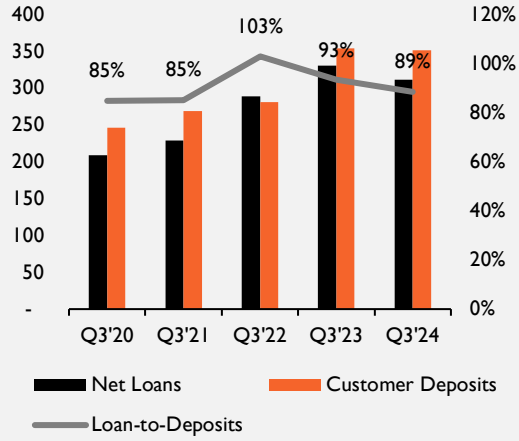
- **We maintain our *BUY* recommendation on ABSA Bank Kenya on account of robust return on equity momentum and optimistic revenue growth outlook.** At the current market price, the stock is trading at P/E ratio of 4.0x and a P/B ratio of 1.2x. Our one-year target price for ABSA currently stands at KES 17.85- representing a c.14.8% upside potential from current levels.

Chart 2: Shift in Asset Composition



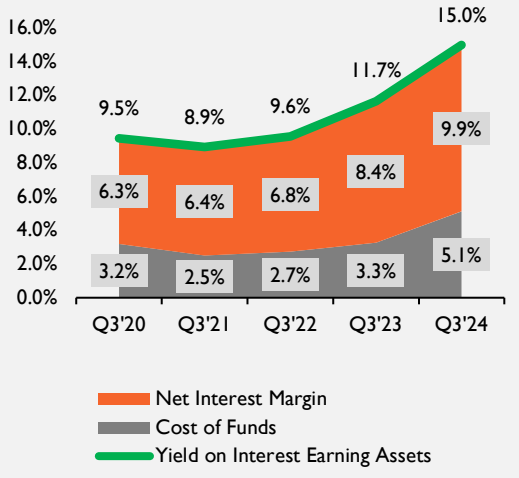
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Widening Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	Q3'20	Q3'21	Q3'22	Q3'23	Q3'24	y/y % Change
Net Interest Income	17.10	18.58	23.27	29.32	34.53	▲ 17.7%
Net non-Interest Income	8.31	8.74	10.18	10.83	12.23	▲ 13.0%
Total Operating income	25.41	27.31	33.45	40.15	46.76	▲ 16.5%
Provision for Impairment	(7.60)	(3.40)	(5.03)	(6.76)	(8.03)	▲ 18.7%
Total Operating expenses	(20.07)	(15.45)	(18.31)	(22.31)	(25.70)	▲ 15.2%
Profit before tax	3.39	11.86	15.14	17.84	21.06	▲ 18.1%
Profit after tax	1.92	8.24	10.71	12.31	14.75	▲ 19.8%
Annualized EPS	0.47	2.02	2.63	3.02	3.62	▲ 19.8%

Balance Sheet (KES Bn)	Q3'20	Q3'21	Q3'22	Q3'23	Q3'24	y/y % Change
Government Securities	134.02	126.57	139.83	106.61	97.54	▼ (8.5%)
Loans and Advances	209.25	229.08	289.45	330.93	311.46	▼ (5.9%)
Total Assets	387.87	411.42	481.35	504.92	484.35	▼ (4.1%)
Customer Deposits	246.55	268.82	281.06	354.31	351.80	▼ (0.7%)
Total Liabilities	343.24	356.79	421.09	439.61	407.03	▼ (7.4%)
Shareholder's Funds	44.62	54.62	60.26	65.31	77.32	▲ 18.4%

Ratio Analysis	Q3'20	Q3'21	Q3'22	Q3'23	Q3'24	y/y % Change
Spreads Analysis						
Yield on Assets	9.5%	8.9%	9.6%	11.7%	15.0%	▲ 3.3%
Cost of Funds	3.2%	2.5%	2.7%	3.3%	5.1%	▲ 1.8%
Net Interest Margin	6.3%	6.4%	6.8%	8.4%	9.9%	▲ 1.5%
ROaE	8.6%	21.1%	23.2%	25.8%	26.4%	▲ 0.6%
ROaA	1.0%	2.6%	3.0%	3.3%	3.8%	▲ 0.5%
Profit Margin	7.6%	30.2%	32.0%	30.6%	31.5%	▲ 0.9%
Operating Efficiency						
Cost to Income Less LLP	49.1%	44.1%	39.7%	38.7%	37.8%	▼ (0.9%)
Cost to Assets Less LLP	3.3%	3.0%	3.0%	3.2%	3.6%	▲ 0.4%
Loan to Deposit Ratio	84.9%	85.2%	103.0%	0.0%	88.5%	▲ 88.5%
Asset Quality						
Gross NPL Ratio	7.6%	7.1%	6.6%	9.8%	12.6%	▲ 2.8%
NPL Coverage	64.9%	73.4%	80.0%	67.4%	65.3%	▼ (2.1%)
Cost of Risk	3.6%	1.5%	1.7%	2.0%	2.6%	▲ 0.5%
Capital Adequacy						
Core Capital/TRWA	13.7%	14.4%	13.8%	13.4%	15.6%	▲ 2.2%
Total Capital /TRWA	16.5%	17.0%	16.2%	17.7%	19.4%	▲ 1.7%
Liquidity	36.4%	38.3%	25.8%	29.8%	38.1%	▲ 8.3%



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